

NEXT GENERATION EU: THE PROGRAMME IS COMING TO AN END, BUT ITS EFFECTS ON ECONOMIC ACTIVITY WILL ENDURE

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A pillar of the NextGenerationEU programme, the Recovery and Resilience Facility (RRF) will expire on December 31, 2026. As of the end of August 2026, slightly more than three-quarters of the total budget had been disbursed (EUR 440 billion out of EUR 573 billion). Disbursing the remaining quarter (EUR 133 billion) by the end of the year will require a significant increase compared with the historical pace (EUR 90 billion per year). The goal of channeling these funds toward productive investment appears to have been achieved.

Tangible results for investment in Europe

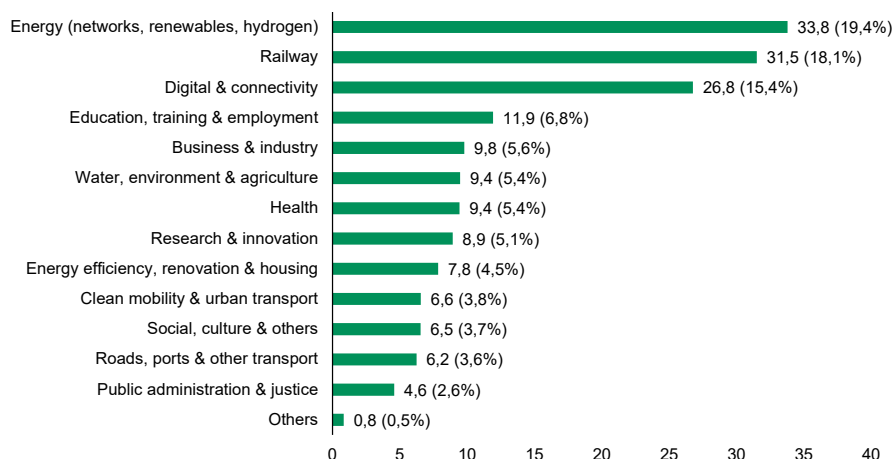
According to Eurostat, public spending co-financed by the RRF totaled EUR 310 billion between 2020 and 2025. Nearly three-quarters (74%) consisted of capital expenditures, including EUR 106 billion in direct public investment and EUR 122 billion in capital transfers to the private sector (such as grants). This spending supported investment by businesses and households.

The list of major programmes funded by the RRF, published by the European Commission¹, shows that, within this scope, nearly two-thirds of the funding went to transportation (primarily rail), energy infrastructure, and digital infrastructure (see Chart 1).

Another notable point: capital expenditures co-financed by the RRF increased significantly, reaching 0.4% of GDP for the European Union as a whole in 2025 (see Chart 2). There are significant disparities among Member States, primarily due to differences in the amounts allocated to them. Croatia (1.9%), Greece (1.2%), Italy (1%), and Spain (0.7%) received significant support, in contrast to France and Germany (0.1%). These figures are consistent with the IMF's estimate that the RRF added approximately 0.3 percentage points (pp) to EU growth in 2025 (more than 1 pp in Greece and Croatia, around 0.8 pp in Italy, and 0.5 pp in Spain)². Furthermore, as the first major joint European borrowing initiative, the RRF made it possible to finance investment without increasing national budget deficits, giving several countries (Spain, Italy, Greece, Portugal) valuable breathing room to consolidate their public finances.

Infrastructure spending accounts for the majority of the funding

Breakdown of RRF funds for the 100 largest projects by country (EUR bn)



Note: The figures in parentheses represent each sector's share of the total funds allocated to the 100 largest projects by country (totaling EUR 174.1 bn, data as of 31 August 2026).

CHART 1

SOURCE: EUROPEAN COMMISSION, [Recovery and Resilience Scorecard](#)

¹ [Recovery and Resilience Scoreboard](#)

² [The EU's Recovery and Resilience Facility: Experience and Lessons for the Next Multiannual Financial Framework, WP/26/114, June 2026](#)



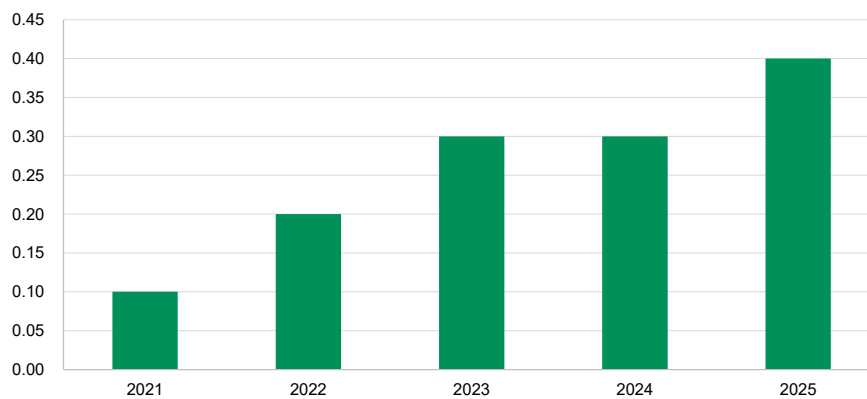
Investment spending related to the FRR has been increasing**Capital expenditures co-financed by the RRF (% of nominal GDP)**

CHART 2

SOURCE: EUROPEAN COMMISSION, [Recovery and Resilience Scorecard](#), BNP PARIBAS**What impact on EU's economic activity can we expect once this programme ends?**

At first glance, effects will be limited. The end of the programme is expected to weigh on both public and private investment. However, the strengthening of economic activity that we anticipate ([see details in our latest Ecoperspectives – Q3 2026](#)) rests primarily on German public investment programmes and structural drivers (investment in AI, defence spending).

The ECB makes the same point in its September macroeconomic projections³. It emphasises that the end of the RRF is expected to weigh on public investment in 2027, while it anticipates an acceleration in business investment. Furthermore, RRF funds are being absorbed on the ground only gradually. Since most disbursements are concentrated toward the end of the programme, the effects of the RRF will extend beyond 2026.

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³ [ECB staff macroeconomic projections for the euro area, September 2026](#)



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